

crisis year of 2008. The average HF lost 19% that year. Investors responded by yanking their money. Investors have since returned to HFs, and since 2009 HF assets have resumed their inexorable path upward.

Investors allocate money to HFs pro-cyclically, just like ordinary investors with mutual funds (see chapter 16). When HFs have done well in the past, money pours in as investors chase returns. But as assets grow, competition among HFs increase as HFs need to deploy more capital. Consequently, performance after high inflows tends to be low, and the increased competition raises the probability of the HF liquidating.²⁰ As Asness says in his definition of HFs, “They are supposed to make money all the time, and when they fail at this, their investors redeem and go to someone else who has recently been making money.”

Panel B of Figure 17.1 plots the change in assets under management each year, or the net inflow into HFs in dollars, together with the excess HF return in that year. The latter is defined as the HF index return minus the S&P 500. Panel B shows that the two series tend to move in opposite directions: the correlation between the growth of HF assets and HF returns in excess of equities is -47% . Thus, just as investors pile into HFs, they tend to have lower excess returns.

While HFs lost 19.0% in 2008, they did better than the S&P 500, which declined by 37.0%. Yet investors pulled out of HFs at this time. They started to come back in 2009, but since then HFs have underperformed the S&P 500 by 6.5% in 2009, 4.8% in 2010, 7.4% in 2011, and 9.8% in 2012. After investors pile into HFs, they tend to offer relatively poor returns.²¹

2.4. SUMMARY

Exemption from the 40-Act allows HFs to use investment strategies that mutual funds find difficult to implement under the act’s chafing limitations. The disadvantage is that since HFs are not 40-Act funds, their investors have limited protection. The advantage of HFs is that investors potentially have access to a world of new investment strategies. Do they?

3. Risk and Return

“Hedge funds are not a new asset class,” states John Cochrane, a well-known finance professor at the University of Chicago.²² “They trade in exactly the same

²⁰ See Kosowski, Naik, and Teo (2007), Fung et al. (2008), Agarwal, Daniel, and Naik (2004, 2009), Ding et al. (2009), and Getmansky (2012).

²¹ Warren Buffet made a \$1 million bet with a HF, Protégé Partners headed by Ted Seides and Jeffrey Tarrant, that the S&P 500 would beat HFs over a ten-year period beginning on January 1, 2008. So far, Buffet is winning. See Burton, K., 2012, “Buffet Seizes Lead in Bet on Stocks Beating Hedge Funds,” Bloomberg, March 21, 2012.

²² Quoted by Lim, T., “Institutional Investors Beware,” *Private Wealth*, Jan. 4, 2013.